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**TOWN OF KENSINGTON, MARYLAND**

**Financial Statements,  
Supplementary Information and  
Independent Auditor's Report**

**For the Years Ended  
June 30, 2021 and 2020**

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**LSWG**

**CERTIFIED PUBLIC ACCOUNTANTS  
& BUSINESS ADVISORS**

**TOWN OF KENSINGTON, MARYLAND**  
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June 30, 2021 and 2020

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## **INDEPENDENT AUDITOR'S REPORT**

To the Mayor and Council of the  
Town of Kensington, Maryland

We have audited the accompanying financial statements of the governmental activities and the general fund of the Town of Kensington, Maryland (the Town), as of and for the years ended June 30, 2021 and 2020, and the related notes to the financial statements, which collectively comprise the Town's basic financial statements as listed in the table of contents.

### **Management's Responsibility for the Financial Statements**

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

### **Auditor's Responsibility**

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

## **Opinions**

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities and the general fund of the Town of Kensington, Maryland as of June 30, 2021 and 2020, and the respective changes in financial position for the years then ended in accordance with accounting principles generally accepted in the United States of America.

## **Other Matters**

### ***Required Supplementary Information***

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis and budgetary comparison information be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquires of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

**LSWG, P.A.**

Rockville, Maryland  
October 25, 2021

## **MANAGEMENT DISCUSSION AND ANALYSIS**

Set forth below is an overview of the Town of Kensington's financial statements and analysis of the financial activities for the fiscal year ended June 30, 2021. We encourage readers to consider the following information.

### **FINANCIAL HIGHLIGHTS**

- The assets and deferred outflows of the Town of Kensington exceeded its liabilities and deferred inflows at the close of the fiscal year by \$6,483,619 (net position). Of this amount, \$4,250,519 (unrestricted net position) may be used to meet the government's ongoing obligations to citizens and creditors.
- The Town of Kensington's total net position increased by \$793,676 for the fiscal year compared with an increase of \$182,881 in the prior year.
- Revenues in the Statement of Program Activities increased by \$86,415 (3%) when compared to the prior year. Expenses in the Statement of Program Activities decreased by \$524,380 (22%) when compared to the prior year.
- At the close of the fiscal year, the Town of Kensington's Governmental Funds reported an ending fund balance of \$4,337,371, an increase of \$1,018,487 in comparison with the prior year. Out of this fund balance, approximately 20%, \$858,431, is classified as unassigned and available for spending at the government's discretion. Of the remaining \$3,478,940 balance, \$28,693 is nonspendable as it was designated a prepaid expense; \$120,175 is committed and under contract for the pavement management program within the capital improvement projects; \$2,269,167 is assigned for other capital improvement projects; and \$1,060,905 is assigned for next year's operations including capital outlay.
- The Governmental Funds total revenues were \$600,530 over budget and expenditures after capital improvement projects were \$1,080,685 under budget.
- The Town collected from the Department of Housing and Urban Development (HUD) a special purpose grant for \$350,000 that was awarded on February 24, 1994.
- The Town fully paid its Wynne Case obligation of \$78,677 as ruled by the U.S. Supreme Court decision on the Wynne Case.
- In this fiscal year the Town:
  - (1) Completed a new brick walking path, grape arbor, and made additional garden enhancements at Clum- Kennedy Park through a Program Open Space grant;
  - (2) Replaced the HVAC system at Town Hall;

- (3) Resurfaced and widened the jogging/walking path at St. Paul Park;
- (4) Added dog agility equipment to the Kensington Dog Run; and
- (5) Painted murals along the Frederick Avenue bridge, adjacent to Clum Kennedy Park, and the Summit Avenue bridge, between Plyers Mill Road and Howard Avenue.

## **OVERVIEW OF THE FINANCIAL STATEMENT**

This discussion and analysis is intended to serve as an introduction to the Town of Kensington's basic financial statements. The Town of Kensington's basic financial statements comprise three components: 1) government-wide financial statements, 2) fund financial statements, and 3) notes to the basic financial statements. This report also contains other supplementary information in addition to the basic financial statements themselves.

### **GOVERNMENT-WIDE FINANCIAL STATEMENTS**

The government-wide financial statements are designed to provide readers with a broad overview of the Town of Kensington's finances, in a manner similar to a private-sector business.

The Statement of Net Position presents information on all of the Town of Kensington's (i) assets and deferred outflows and (ii) liabilities and deferred inflows, with the difference between the two reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of the Town of Kensington is improving or deteriorating.

The Statement of Program Activities presents information showing how the government's net position changed during the most recent fiscal year. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, regardless of the timing of related cash flows. Thus, revenues and expenses are reported in this statement for some items that will only result in cash flows in future fiscal periods (e.g., uncollected taxes and earned but unused vacation leave).

Both of the government-wide financial statements of the Town of Kensington are principally supported by taxes and intergovernmental revenues (governmental activities). The governmental activities of the Town of Kensington include general government, building, public works, public safety, and parks and recreation. The government-wide financial statements report only on the Town of Kensington.

### **FUND FINANCIAL STATEMENTS**

A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. The Town of Kensington, like other local and state governments, uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. The Town of Kensington currently has only governmental funds.

**Governmental Funds.** Governmental funds are used to account for essentially the same functions reported as governmental activities in the government-wide financial statements.

However, unlike the government-wide financial statements, governmental fund financial statements focus on near-term inflows and outflows of spendable resources, as well as on balances of spendable resources available at the end of the fiscal year. Such information may be useful in evaluating a government's near-term financing requirements.

Because the focus of governmental funds is narrower than that of the government-wide financial statements, it is useful to compare the information presented for governmental funds with similar information presented for governmental activities in the government-wide financial statements. By doing so, readers may better understand the long-term impact of the government's near term financing decisions. Both the governmental fund balance sheet and the governmental fund statement of revenues, expenditures, and changes in fund balances provide a reconciliation to facilitate this comparison between governmental funds and governmental activities.

The Town of Kensington maintains one individual governmental fund. Information is presented separately in the governmental fund balance sheet and in the governmental fund statement of revenues, expenditures and changes in fund balance, which is considered to be a major fund.

The Town of Kensington adopts an annual appropriated budget ordinance for its governmental fund. A budgetary comparison statement has been provided for the governmental fund to demonstrate compliance with this budget.

## **NOTES TO THE BASIC FINANCIAL STATEMENTS**

The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements.

## **GOVERNMENT-WIDE FINANCIAL ANALYSIS**

As noted earlier, net position may serve over time as a useful indicator of a government's financial position. In the case of the Town of Kensington, assets and deferred outflows exceeded liabilities and deferred inflows by \$6,483,619 at the close of the most recent fiscal year as compared with \$5,689,943 at the end of the prior year. Approximately 34% of the Town of Kensington's net position reflects its investment in capital assets (e.g., land, buildings, machinery, and equipment). The Town of Kensington uses these capital assets to provide services to citizens; consequently, these assets are not available for future spending.

### **Town of Kensington's Net Position**

|                          | <u>Governmental Activities</u> |
|--------------------------|--------------------------------|
| Current and other assets | \$ 4,462,198                   |
| Capital assets           | <u>2,233,100</u>               |
| Total assets             | <u>6,695,298</u>               |
| Other liabilities        | <u>211,679</u>                 |
| Total liabilities        | <u>211,679</u>                 |

|                                                 |                     |
|-------------------------------------------------|---------------------|
| Invested in capital assets, net of related debt | \$ 2,233,100        |
| Unrestricted                                    | <u>4,250,519</u>    |
| Total Net Position                              | <u>\$ 6,483,619</u> |

The unrestricted net position of \$4,250,519 is used to meet the government's ongoing obligations to citizens and creditors.

**Governmental activities.** Governmental activities increased the Town of Kensington's net position by \$793,676.

#### **Town of Kensington Changes in Net Position**

|                                    | <u>Governmental<br/>Activities</u> |
|------------------------------------|------------------------------------|
| Revenues:                          |                                    |
| Program revenues:                  |                                    |
| Charges for services               | \$ 95,307                          |
| Operating grants and contributions | 159,618                            |
| General revenues:                  |                                    |
| Taxes                              | 2,268,913                          |
| Other                              | <u>177,220</u>                     |
| Total Revenues                     | <u>\$ 2,701,058</u>                |
| Expenses:                          |                                    |
| General government                 | \$ 755,094                         |
| Building and zoning                | 39,344                             |
| Public safety                      | 226,161                            |
| Parks and recreation               | 147,625                            |
| Public works                       | <u>739,158</u>                     |
| Total Expenses                     | <u>\$ 1,907,382</u>                |
| Increase in net position           | \$ 793,676                         |
| Net position on July 1, 2020       | <u>5,689,943</u>                   |
| Net position on June 30, 2021      | <u>\$ 6,483,619</u>                |

- Taxes of \$2,268,913 comprised 84% of the total revenues of \$2,701,058. Most of this balance is the product of property and income taxes. Taxes in the prior year were \$2,188,832 representing 84% of total revenues in that year of \$2,614,643.

#### **FUND FINANCIAL ANALYSIS**

The Town of Kensington uses fund accounting to ensure and demonstrate compliance with finance related requirements.



**Governmental Funds.** The focus of the Town of Kensington’s governmental funds is to provide information on near term inflows, outflows, and balances of spendable resources. Such information is useful in assessing the Town of Kensington’s financing requirements. In particular, the unassigned fund balance may serve as a useful measure of a government’s net resources available for spending at the end of the fiscal year.

As of the end of the current fiscal year, the Town of Kensington’s governmental funds reported combined ending fund balances of \$4,337,371, an increase of \$1,018,487 in comparison with the prior year.

Approximately 20% of this amount, \$858,431, constitutes the unassigned fund balance, which is available for future spending at the government’s discretion. The remainder of the fund, \$3,478,940, has been reserved for prepaid expenses, capital improvement projects in the CIP Budget, and for projected use to fund next year’s budget due to additional funds added to the capital improvement budget.

|                                                                                             |                    |
|---------------------------------------------------------------------------------------------|--------------------|
| Total Fund Balance at June 30, 2021                                                         | \$4,337,371        |
| Nonspendable for Prepaid Expenses                                                           | (28,693)           |
| Committed for Capital Improvement Projects for Pavement Management Program (Under contract) | (120,175)          |
| Assigned for Capital Improvement Projects (Not under contract)                              | (2,269,167)        |
| Assigned for FY 2021-22 Budget (includes operating and CIP)                                 | <u>(1,060,905)</u> |
| Unassigned Fund Balance                                                                     | <u>\$ 858,431</u>  |

**Governmental Fund Budgetary Highlights.** Generally, budget amendments fall into one of three categories: (1) amendments made to adjust the estimates that are used to prepare the original budget once exact information is available; (2) amendments made to recognize new funding amounts from external sources, such as County and State grants; and (3) increases in appropriations that become necessary to maintain services.

The Town of Kensington did not make any budget amendments to the adopted budget during the fiscal year.

Revenues and other financing sources exceeded expenditures by \$1,018,487 within the Government Fund at the end of the fiscal year.

Revenues exceeded our budget forecast by \$600,530 for the fiscal year due to more than expected income tax revenue, the receipt of funds from a 1994 HUD grant, and funds from the Program Open Space grant for improvements at Clum Kennedy Park, which were not anticipated.

Expenditures were less than our budget forecast by \$1,080,685 for the fiscal year which is mostly attributed to the global pandemic from COVID-19 and from delaying to appoint

certain open positions on the Town staff. In addition, the cancellation of certain Town events, a delay on certain CIP projects, and lower than expected utility costs contributed.

The Town fully paid an obligation as a result of the Wynne Case decision. The Maryland Comptroller's Officer notified all municipalities on March 31, 2021, that a one-time payment to deduct the full liability from the Wynne Case decision would be allowed from the May 21, 2021 distribution. The Town had an obligation of \$78,677 following the Supreme Court's 2015 decision in Comptroller of the Treasury of Maryland v. Wynne, and decided to fully pay this obligation from the May 21, 2021 distribution.

For reference, the Town Charter was amended during the 2009-10 Fiscal Year to allow for non-lapsing capital project expenditures. Subsequently, \$2,269,167 has been assigned from the fund balance for ongoing and future capital projects, which includes Facilities Capital Reserve; Property Acquisition; Town Hall Improvements; Town Parks and Playground Improvements; Street Light Replacement Program; Bridge Reconstruction and Renovation Program; Equipment and Vehicle Replacement Program; Pavement Management Program; Public Works Facility Improvements; and Storm Drain Reconstruction & Renovation Program. In addition, \$120,175 has been committed from the Pavement Management Program within an existing contract.

The Fiscal Year ending June 30, 2020 assigned and committed funds for the non-lapsing capital improvement budget were \$1,920,102. In this fiscal year, an additional \$760,043 was added for capital improvement projects, while \$290,802 was spent for capital improvement projects. This resulted in an assigned and committed fund balance for the capital improvement budget of \$2,389,343 at the end of this fiscal year.

### **Governmental Fund Budget Highlights**

|                           | <u>Adopted<br/>Budget</u> | <u>Actual</u>           |
|---------------------------|---------------------------|-------------------------|
| <b>Revenues</b>           |                           |                         |
| Taxes – Local             | \$1,345,661               | \$1,414,520             |
| Taxes – Shared Revenues   | 669,075                   | 844,066                 |
| Licenses & Permits        | 54,558                    | 81,749                  |
| Intergovernmental Revenue | 285,508                   | 267,417                 |
| Fines and Forfeitures     | 4,000                     | 3,206                   |
| Grants                    |                           | 401,216                 |
| Other                     | <u>81,400</u>             | <u>28,558</u>           |
| <b>Total Revenue</b>      | <b><u>2,440,202</u></b>   | <b><u>3,040,732</u></b> |
| <b>Expenditures</b>       |                           |                         |
| General Government        | 1,093,411                 | 698,038                 |
| Public Works              | 887,792                   | 683,281                 |
| Public Safety             | 260,434                   | 211,529                 |
| Parks                     | 101,250                   | 59,918                  |
| Debt Service              | <u>0</u>                  | <u>78,677</u>           |

|                        |                     |                    |
|------------------------|---------------------|--------------------|
| Total Operating        | <u>2,342,887</u>    | <u>1,731,443</u>   |
| Capital Improvements** | <u>760,043</u>      | <u>290,802</u>     |
| Total Expenditures     | <u>3,102,930</u>    | <u>2,022,245</u>   |
| Change in fund balance | \$ <u>(662,728)</u> | <u>\$1,018,487</u> |

**\*\*Non-lapsing Capital Improvement Budget at July 1, 2020 was \$1,920,102.**

### **CAPITAL ASSETS**

The Town's capitalization policy is to capitalize fixed assets at a threshold of \$5,000.

At the end of the fiscal year, the Town governmental activities have invested \$2,233,100 in a variety of capital assets and infrastructure, as reflected in the following schedule. These assets include land, land improvements, buildings and improvements, machinery, equipment, vehicles, and park and playground equipment. Total depreciation was \$117,147.

#### **Governmental Activities - Capital Assets**

|                                                     |                                    |
|-----------------------------------------------------|------------------------------------|
|                                                     | <u>Governmental<br/>Activities</u> |
| Non-Depreciable Assets                              |                                    |
| Land                                                | \$ 264,353                         |
| Land Improvement                                    | 1,054,794                          |
| Other Capital Assets                                |                                    |
| Buildings & Improvements                            | 2,049,537                          |
| Equipment                                           | 629,293                            |
| Infrastructure                                      | <u>486,905</u>                     |
| Total Capital Assets                                | 4,484,882                          |
| Accumulated Depreciation on<br>Other Capital Assets | <u>(2,251,782)</u>                 |
| Net Capital Assets                                  | <u>\$ 2,233,100</u>                |

### **LONG-TERM DEBT**

The long-term portion of accrued compensated absences of \$58,332 represent the outstanding debt obligations of the Town.

## **NEXT YEAR'S BUDGET HIGHLIGHTS**

The Town adopted the Fiscal Year 2021-2022 Budget on May 10, 2021.

For Fiscal Year 2021-2022 the Real Property tax rate remained unchanged from the prior year at a rate of \$0.1312 per one hundred dollars of assessed value; the Corporate and Personal Property tax rate remained unchanged from the prior year at a rate of \$0.80 per one hundred dollars of assessed value; and the Public Utility tax rate remained unchanged from the prior year at a rate of \$5.00 per one hundred dollars of assessed value.

The Mayor and Town Council appropriated \$710,906 from the prior year's unassigned fund balance, along with the \$350,000 received in Fiscal Year 2020-2021, for spending within the Fiscal Year 2021-2022 budget, which includes \$958,492 to the non-lapsing Capital Improvement Budget. The Town plans to address a number of infrastructure needs within the upcoming fiscal year, to include: a repair of the veranda and parapet at Town Hall; repointing the bricks at Town Hall; making the recommended repairs to the Town's three bridges; and hiring an engineering firm to recommend improvements to our storm drain network.

### **American Rescue Plan Act (ARPA)**

The Town was awarded \$2,294,669 in Coronavirus State and Local Fiscal Recovery Funds (SLFRF) through the American Rescue Plan Act (ARPA) signed into Federal law in March, 2021; \$1,147,335 of the award was received August 27, 2021 and the remaining balance will be received the following year. The funds are restricted to address public health and economic impacts, replace lost public sector revenue, provide premium pay for essential workers; and invest in water, sewer, and broadband infrastructure. The Town anticipates using the majority of these funds to address storm water management in Town.

## **ECONOMIC FACTORS**

The major economic factors that may affect the Town of Kensington is the continued uncertainty of the impact COVID-19 will have on revenues and expenses.

## **REQUESTS FOR INFORMATION**

This financial report is designed to provide a general overview of the Town of Kensington's finances. Questions concerning any of the information provided in this report or requests for additional financial information should be addressed to the Town Manager or Clerk/Treasurer of the Town of Kensington, 3710 Mitchell Street, Kensington, Maryland, 20895.

**Town of Kensington, Maryland**  
**Statements of Net Position**  
**June 30, 2021 and 2020**

|                                                     | <b>Governmental<br/>Activities<br/><u>2021</u></b> | <b>Governmental<br/>Activities<br/><u>2020</u></b> |
|-----------------------------------------------------|----------------------------------------------------|----------------------------------------------------|
| <b>Assets</b>                                       |                                                    |                                                    |
| Cash and cash equivalents                           | \$ 226,422                                         | \$ 325,009                                         |
| Investments                                         | 4,118,591                                          | 2,977,458                                          |
| Receivables, net                                    | 25,554                                             | 28,028                                             |
| Due from other governments                          | 62,938                                             | 393,914                                            |
| Prepaid expenses                                    | 28,693                                             | 25,150                                             |
| Capital assets, net                                 | 2,233,100                                          | 2,141,431                                          |
| Total Assets                                        | <u>6,695,298</u>                                   | <u>5,890,990</u>                                   |
| <b>Deferred Outflows</b>                            | <u>-</u>                                           | <u>-</u>                                           |
| <b>Liabilities</b>                                  |                                                    |                                                    |
| Accounts payable                                    | 99,219                                             | 32,408                                             |
| Builder deposits                                    | 14,500                                             | 10,173                                             |
| Accrued salaries                                    | 23,956                                             | 21,834                                             |
| Accrued compensated absences                        | 67,325                                             | 51,654                                             |
| Unearned revenues                                   | 6,679                                              | 6,301                                              |
| State tax credit liability - current portion        | -                                                  | 3,934                                              |
| Long-Term Liabilities                               |                                                    |                                                    |
| Due in more than one year                           |                                                    |                                                    |
| State tax credit liability - net of current portion | <u>-</u>                                           | <u>74,743</u>                                      |
| Total Liabilities                                   | <u>211,679</u>                                     | <u>201,047</u>                                     |
| <b>Deferred Inflows</b>                             | <u>-</u>                                           | <u>-</u>                                           |
| <b>Net Position</b>                                 |                                                    |                                                    |
| Invested in capital assets, net                     | 2,233,100                                          | 2,141,431                                          |
| Unrestricted                                        | <u>4,250,519</u>                                   | <u>3,548,512</u>                                   |
| Total Net Position                                  | <u><u>\$ 6,483,619</u></u>                         | <u><u>\$ 5,689,943</u></u>                         |

The accompanying notes are an integral part of these statements.

**Town of Kensington, Maryland**  
**Statement of Program Activities**  
**For the Year Ended June 30, 2021**

|                                 |                     | Program Revenue  |                   | Net (Expenses)      |                     |
|---------------------------------|---------------------|------------------|-------------------|---------------------|---------------------|
|                                 |                     | Charges for      | Operating Grants  | Revenue and         |                     |
|                                 | Expenses            | Services         | and Contributions | Changes in          |                     |
|                                 |                     |                  |                   | Governmental        | Total               |
|                                 |                     |                  |                   | Activities          |                     |
| <b>Functions/Programs</b>       |                     |                  |                   |                     |                     |
| Governmental Activities         |                     |                  |                   |                     |                     |
| General government              | \$ 755,094          | \$ -             | \$ 7,716          | \$ (747,378)        | \$ (747,378)        |
| Building and zoning             | 39,344              | 81,749           | -                 | 42,405              | 42,405              |
| Public works                    | 739,158             | -                | 106,382           | (632,776)           | (632,776)           |
| Public safety                   | 226,161             | 3,206            | -                 | (222,955)           | (222,955)           |
| Parks and recreation            | 147,625             | 10,352           | 45,520            | (91,753)            | (91,753)            |
| Total Governmental Activities   | <u>\$ 1,907,382</u> | <u>\$ 95,307</u> | <u>\$ 159,618</u> | (1,652,457)         | (1,652,457)         |
| General Revenues                |                     |                  |                   |                     |                     |
| Property taxes                  |                     |                  |                   | 1,424,847           | 1,424,847           |
| State shared taxes              |                     |                  |                   | 844,066             | 844,066             |
| Intergovernmental               |                     |                  |                   | 161,035             | 161,035             |
| Investment income               |                     |                  |                   | 11,140              | 11,140              |
| Miscellaneous                   |                     |                  |                   | 5,045               | 5,045               |
| Total General Revenues          |                     |                  |                   | <u>2,446,133</u>    | <u>2,446,133</u>    |
| Changes in Net Position         |                     |                  |                   | 793,676             | 793,676             |
| Net Position, Beginning of Year |                     |                  |                   | 5,689,943           | 5,689,943           |
| Net Position, End of Year       |                     |                  |                   | <u>\$ 6,483,619</u> | <u>\$ 6,483,619</u> |

The accompanying notes are an integral part of this statement.

Exhibit A-3

**Town of Kensington, Maryland**  
**Statement of Program Activities**  
**For the Year Ended June 30, 2020**

|                                 |                     | Program Revenue   |                   | Net (Expenses)      | Total               |
|---------------------------------|---------------------|-------------------|-------------------|---------------------|---------------------|
|                                 |                     | Charges for       | Operating Grants  | Revenue and         |                     |
|                                 | Expenses            | Services          | and Contributions | Changes in          |                     |
|                                 |                     |                   |                   | Net Position        |                     |
|                                 |                     |                   |                   | Governmental        |                     |
|                                 |                     |                   |                   | Activities          |                     |
| <b>Functions/Programs</b>       |                     |                   |                   |                     |                     |
| Governmental Activities         |                     |                   |                   |                     |                     |
| General government              | \$ 807,631          | \$ -              | \$ -              | \$ (807,631)        | \$ (807,631)        |
| Building and zoning             | 102,420             | 79,906            | -                 | (22,514)            | (22,514)            |
| Public works                    | 1,231,328           | -                 | 93,325            | (1,138,003)         | (1,138,003)         |
| Public safety                   | 194,743             | 5,080             | -                 | (189,663)           | (189,663)           |
| Parks and recreation            | 95,640              | 16,408            | 600               | (78,632)            | (78,632)            |
| Total Governmental Activities   | <u>\$ 2,431,762</u> | <u>\$ 101,394</u> | <u>\$ 93,925</u>  | (2,236,443)         | (2,236,443)         |
| General Revenues                |                     |                   |                   |                     |                     |
| Property taxes                  |                     |                   |                   | 1,350,051           | 1,350,051           |
| State shared taxes              |                     |                   |                   | 838,781             | 838,781             |
| Intergovernmental               |                     |                   |                   | 161,035             | 161,035             |
| Investment income               |                     |                   |                   | 55,976              | 55,976              |
| Miscellaneous                   |                     |                   |                   | 13,481              | 13,481              |
| Total General Revenues          |                     |                   |                   | <u>2,419,324</u>    | <u>2,419,324</u>    |
| Changes in Net Position         |                     |                   |                   | 182,881             | 182,881             |
| Net Position, Beginning of Year |                     |                   |                   | <u>5,507,062</u>    | <u>5,507,062</u>    |
| Net Position, End of Year       |                     |                   |                   | <u>\$ 5,689,943</u> | <u>\$ 5,689,943</u> |

The accompanying notes are an integral part of this statement.

**Town of Kensington, Maryland**  
**Balance Sheets**  
**Governmental Funds**  
**June 30, 2021 and 2020**

|                                                                                                                                                            | <b>General<br/>Fund<br/><u>2021</u></b> | <b>General<br/>Fund<br/><u>2020</u></b> |
|------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------|-----------------------------------------|
| <b>Assets</b>                                                                                                                                              |                                         |                                         |
| Cash and cash equivalents                                                                                                                                  | \$ 226,422                              | \$ 325,009                              |
| Investments                                                                                                                                                | 4,118,591                               | 2,977,458                               |
| Receivables, net                                                                                                                                           | 25,554                                  | 28,028                                  |
| Due from other governments                                                                                                                                 | 62,938                                  | 43,914                                  |
| Prepaid expenses                                                                                                                                           | 28,693                                  | 25,150                                  |
| <b>Total Assets</b>                                                                                                                                        | <u>4,462,198</u>                        | <u>3,399,559</u>                        |
| <b>Deferred Outflows</b>                                                                                                                                   | <u>-</u>                                | <u>-</u>                                |
| <b>Liabilities</b>                                                                                                                                         |                                         |                                         |
| Accounts payable                                                                                                                                           | 51,719                                  | 32,408                                  |
| Builder deposits                                                                                                                                           | 14,500                                  | 10,173                                  |
| Accrued salaries                                                                                                                                           | 23,956                                  | 21,834                                  |
| Accrued compensated absences - current                                                                                                                     | 8,993                                   | 1,306                                   |
| Unearned revenues                                                                                                                                          | 6,679                                   | 6,301                                   |
| Total Liabilities                                                                                                                                          | <u>105,847</u>                          | <u>72,022</u>                           |
| <b>Deferred Inflows</b>                                                                                                                                    | <u>18,980</u>                           | <u>8,653</u>                            |
| <b>Fund Balance</b>                                                                                                                                        |                                         |                                         |
| Nonspendable                                                                                                                                               | 28,693                                  | 25,150                                  |
| Committed                                                                                                                                                  | 120,175                                 | 172,718                                 |
| Assigned                                                                                                                                                   | 3,330,072                               | 2,410,110                               |
| Unassigned                                                                                                                                                 | 858,431                                 | 710,906                                 |
| Total Fund Balance                                                                                                                                         | <u>\$ 4,337,371</u>                     | <u>\$ 3,318,884</u>                     |
| <b>Reconciliation of Total Governmental Fund Balance To Net<br/>Position of the Governmental Activities</b>                                                |                                         |                                         |
| Total Governmental Fund Balance                                                                                                                            | \$ 4,337,371                            | \$ 3,318,884                            |
| Amounts reported for governmental activities in the statement of net<br>position are different because:                                                    |                                         |                                         |
| Property tax revenues in the Statement of Program Activities that do not provide<br>current financial resources are not reported as revenues in the funds. | 18,980                                  | 8,653                                   |
| Capital assets used in governmental activities are not financial resources<br>and therefore are not reported in the fund financial statements.             | 2,233,100                               | 2,141,431                               |
| State income tax credit liability expensed in the government-wide financial<br>statements not reported as expenditures in the fund financial statements.   | -                                       | (78,677)                                |
| Expenses in the Statement of Program Activities that do not provide current<br>financial resources and are not reported as expenses in the funds.          | (47,500)                                | -                                       |
| Compensated absences not requiring current financial resources and therefore<br>not reported as expenditures in the fund financial statements.             | (58,332)                                | (50,348)                                |
| Grant revenue in the Statement of Program Activities that do not provide<br>current financial resources are not reported as revenues in the funds.         | -                                       | 350,000                                 |
| <b>Net Position of Governmental Activities</b>                                                                                                             | <u>\$ 6,483,619</u>                     | <u>\$ 5,689,943</u>                     |

The accompanying notes are an integral part of these statements.



**Town of Kensington, Maryland**  
**Statements of Revenues, Expenditures**  
**and Changes in Fund Balances**  
**Governmental Funds**  
**For the Year Ended June 30, 2021 and 2020**

|                                             | <b>2021</b>         | <b>2020</b>         |
|---------------------------------------------|---------------------|---------------------|
|                                             | <b>General</b>      | <b>General</b>      |
|                                             | <b>Fund</b>         | <b>Fund</b>         |
| <b>Revenues</b>                             |                     |                     |
| General property taxes                      | \$ 1,414,520        | \$ 1,344,882        |
| State shared taxes                          | 844,066             | 838,781             |
| Licenses and permits                        | 81,749              | 62,641              |
| Fines and forfeitures                       | 3,206               | 5,080               |
| Municipal events                            | 7,722               | 16,408              |
| Intergovernmental revenues                  | 267,417             | 254,360             |
| Miscellaneous                               | 9,696               | 31,346              |
| Grants                                      | 401,216             | -                   |
| Net investment income                       | 11,140              | 55,976              |
|                                             | <u>3,040,732</u>    | <u>2,609,474</u>    |
| <b>Total Revenues</b>                       |                     |                     |
|                                             | <u>3,040,732</u>    | <u>2,609,474</u>    |
| <b>Expenditures</b>                         |                     |                     |
| General government                          | 760,651             | 851,530             |
| Public works                                | 779,975             | 1,203,206           |
| Public safety                               | 211,529             | 193,200             |
| Parks and recreation                        | 191,413             | 105,347             |
| Debt service                                | 78,677              | -                   |
|                                             | <u>2,022,245</u>    | <u>2,353,283</u>    |
| <b>Total Expenditures</b>                   |                     |                     |
|                                             | <u>2,022,245</u>    | <u>2,353,283</u>    |
| <b>Excess of Revenues Over Expenditures</b> | 1,018,487           | 256,191             |
| <b>Fund Balance at Beginning of Year</b>    | <u>3,318,884</u>    | <u>3,062,693</u>    |
| <b>Fund Balance at End of Year</b>          | <u>\$ 4,337,371</u> | <u>\$ 3,318,884</u> |

The accompanying notes are an integral part of these statements.

**Town of Kensington, Maryland**  
**Reconciliation of the Statements of Revenues, Expenditures**  
**and Changes in Fund Balances of Governmental Funds**  
**to the Statements of Program Activities**  
**For the years Ended June 30, 2021 and 2020**

|                                                                                                                                                                                                                                                                                                                                                                 | <u><b>2021</b></u>       | <u><b>2020</b></u>       |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------|--------------------------|
| Net Change in Fund Balances - Total Governmental Funds                                                                                                                                                                                                                                                                                                          | \$1,018,487              | \$ 256,191               |
| Amounts reported for governmental activities in the Statements of Program Activities are different because:                                                                                                                                                                                                                                                     |                          |                          |
| Property tax revenues in the Statement of Program Activities that (do) do not provide current financial resources (are) are not reported as revenues in the funds.                                                                                                                                                                                              | 10,327                   | 5,169                    |
| Governmental funds report capital outlays as expenditures in the Statements of Program Activities for the cost of those assets in the period acquired, but expensed over the estimated useful lives as depreciation expense in the government-wide financial statements. Amount by which depreciation expense did (did not) exceed capital outlay expenditures. | 91,669                   | (70,850)                 |
| Compensated absences in the Statement of Program Activities not requiring the use of current financial resources and therefore are (are not) reported as expenditures in the governmental funds.                                                                                                                                                                | (7,984)                  | (7,629)                  |
| Net pension liability expensed in the government-wide financial statements not requiring the use of current financial resources and therefore are (are not) reported as expenditures in the governmental funds.                                                                                                                                                 | (47,500)                 | -                        |
| State income tax refund expense in the government-wide financial statements not requiring the use of current financial resources and therefore are (are not) reported as expenditures in the governmental funds.                                                                                                                                                | 78,677                   | -                        |
| Grant revenues in the Statement of Program Activities that (do) do not provide current financial resources (are) are not reported as revenues in the funds.                                                                                                                                                                                                     | <u>(350,000)</u>         | <u>-</u>                 |
| Net Changes in Net Position                                                                                                                                                                                                                                                                                                                                     | <u><u>\$ 793,676</u></u> | <u><u>\$ 182,881</u></u> |

The accompanying notes are an integral part of these statements.

**TOWN OF KENSINGTON, MARYLAND**  
**Notes to Financial Statements**  
**June 30, 2021 and 2020**

**Note 1 - Summary of Significant Accounting Policies**

**A. Financial Reporting Entity**

The Town of Kensington (Town) was incorporated April 6, 1894 under the laws of the State of Maryland. The Town operates under a Mayor and Council-Manager form of government consisting of a Mayor, Town Council and a Town Manager. The Town provides the following services as authorized by its charter: streets, sanitation, building inspection and general administration services. The basic financial statements of the Town have been prepared in conformity with accounting principles generally accepted in the United States of America (GAAP) as applied to governmental units. The Governmental Accounting Standards Board (GASB) is the accepted standard setting body for established governmental and financial reporting principles. The Town implemented accounting and financial reporting requirements of GASB Statement No. 34, Basic Financial Statements and Management's Discussion and Analysis for States and Local Governments. GASB Statement No. 34 added the following components to the financial statements:

Management's Discussion and Analysis – A narrative introduction and analytical overview of the government's financial activities. This analysis is similar to analysis the private sector provides in their annual reports.

Government-Wide Financial Statements – The government-wide financial statements include the Statement of Net Position and the Statement of Program Activities. These statements report financial information for the Town as a whole.

Statement of Net Position – The Statement of Net Position displays the financial position of the Town. All assets, deferred outflows, liabilities and deferred inflows of resources associated with the operation of the Town are included on the Statement of Net Position. The net position of a government is broken into three categories –1) invested in capital assets, net of related debt; 2) restricted; and 3) unrestricted.

Statement of Program Activities – The Statement of Program Activities reports expenses and revenues in a format that focuses on the cost of each of the government's functions. The expense of individual functions is compared to the revenues generated directly by the function (for instance, through user charges or intergovernmental grants.)

Budgetary Comparison Schedules – Demonstrating compliance with the adopted budget is an important component of a government's accountability to the public. Many citizens participate in the process of establishing the annual operating budgets of state and local governments, and have a keen interest in following the actual financial progress of their governments over the course of the year. The Town and many other governments revise their original budgets over the course of the year for a variety of reasons.

**TOWN OF KENSINGTON, MARYLAND**  
**Notes to Financial Statements**  
**June 30, 2021 and 2020**

**Note 1 - Summary of Significant Accounting Policies (Continued)**

**A. Financial Reporting Entity (Continued)**

The financial statements were prepared in accordance with GASB Statement No.14, The Financial Reporting Entity, which establishes standards for defining and reporting on the financial reporting entity. The definition of the financial reporting entity is based upon the concept that elected officials are accountable to their constituents for their actions. One of the objectives of financial reporting is to provide users of financial statements with the basis for assessing the accountability of the elected officials. The financial reporting entity consists of the Town of Kensington. There are no organizations for which the Town is financially accountable and there are no component units of the Town.

**B. Government-Wide and Fund Financial Statements**

The basic financial statements include both government-wide (based on the Town as a whole) and fund financial statements. The reporting model focus is on both the Town as a whole and the fund financial statements, including the major individual funds of the governmental and business-type categories, as well as the fiduciary fund. The government-wide financial statements (i.e., the Statement of Net Position and the Statement of Program Activities) report information on all of the non-fiduciary activities of the Town. Governmental activities, which normally are supported by taxes and intergovernmental revenues, are reported separately from business-type activities, which primarily rely on fees and charges for support. The Town does not have any business-type activities or fiduciary activities at this time.

The Statement of Program Activities demonstrates the degree to which the direct expenses of a given function are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services or privileges provided by a given function and 2) grants and contributions that are restricted to meeting the operational or capital requirements of a particular function. Taxes and other items not properly included among program revenues are reported instead as general revenues.

**C. Measurement Focus, Basis of Accounting, and Financial Statement Presentation**

The government-wide statements are reported using the economic resources measurement focus, and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property taxes are recognized as revenues in the year for which they are levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

**TOWN OF KENSINGTON, MARYLAND**  
**Notes to Financial Statements**  
**June 30, 2021 and 2020**

**Note 1 - Summary of Significant Accounting Policies (Continued)**

**C. Measurement Focus, Basis of Accounting, and Financial Statement Presentation  
(Continued)**

Governmental fund financial statements are reported using the current resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenue to be available if they are collected within 60 days of the end of the current fiscal period. Expenditures generally are recorded when a liability is incurred, as under accrual accounting.

Property taxes, franchise fees, utility taxes, licenses and interest associated with the current fiscal period are all considered to be susceptible to accrual and so have been recognized as revenues of the current fiscal period. All other revenue items are considered to be measurable and available only when cash is received by the government.

The Town reports unearned revenues on its governmental funds balance sheet. Unearned revenues arise from taxes levied in the current year which are for subsequent years' operations. For governmental fund financial statements unearned revenues arise when potential revenue does not meet both the "measurable" and "available" criteria for recognition in the current period. Unearned revenues also arise when resources are received before the Town has a legal claim to them, as when grant monies are received prior to the incurrence of qualifying expenditures. In subsequent periods, when both revenue recognition criteria are met, or when the Town has a legal claim to the resources, the deferred inflow for unearned revenue is removed from the balance sheet and revenue is recognized.

The Town reports the following major governmental fund:

The General Fund – This is the Town's primary operating fund. It accounts for all financial resources of the general government, except those required to be accounted for in another fund.

**D. Assets, Deferred Outflows, Liabilities, Deferred Inflows and Net Position**

**1. Deposits and Investments**

Cash and cash equivalents, which are cash and short-term investments with maturities of three months or less, include cash on hand and demand deposit accounts.

**TOWN OF KENSINGTON, MARYLAND**  
**Notes to Financial Statements**  
**June 30, 2021 and 2020**

**Note 1 - Summary of Significant Accounting Policies (Continued)**

**D. Assets, Deferred Outflows, Liabilities, Deferred Inflows and Net Position  
(Continued)**

**2. Capital Assets**

Capital assets, which include land, buildings and equipment, are reported in the governmental column in the government-wide financial statements. Capital assets are defined by the government as assets with an initial, individual cost of more than \$5,000 and an estimated useful life in excess of three years. Such assets are recorded at historical cost or estimated historical cost if purchased or constructed. General infrastructure assets acquired prior to July 1, 2004 are not reported in the basic financial statements. Total infrastructure for June 30, 2021 and 2020 was \$486,905 and \$413,782, respectively. Donated capital assets are recorded at estimated fair market value at the date of donation. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized. Major outlays for capital assets and improvements are capitalized as projects are constructed.

Property, plant and equipment of the Town are depreciated using the straight-line method over the following estimated useful lives:

Infrastructure - 40 years  
Buildings - 20 years  
Improvements - 20 years  
Office and other equipment - 5 to 15 years

**3. Prepaid Items**

Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid items in both government-wide and fund financial statements.

**4. Compensated Absences**

Town employees are granted vacation in varying amounts based on length of service. Carryover is limited to two hundred and forty (240) hours. Unused vacation pay, if any, is paid with the employee's termination or retirement. Those amounts estimated to be liquidated with expendable available financial resources from the general fund are reported as an expenditure and a fund liability of the general fund.

**TOWN OF KENSINGTON, MARYLAND**  
**Notes to Financial Statements**  
**June 30, 2021 and 2020**

**Note 1 - Summary of Significant Accounting Policies (Continued)**

**D. Assets, Deferred Outflows, Liabilities, Deferred Inflows and Net Position  
(Continued)**

5. Property Taxes

Property taxes for the current year were assessed by the State Department of Assessments and Taxation and collected by Montgomery County and subsequently remitted to the Town. Property taxes are assessed on July 1st and are due and payable according to applicable laws. All unpaid taxes levied July 1st become delinquent on October 1st and January 1st. The real property tax rate for the Town for fiscal years ended June 30, 2021 and 2020 were .1312 per \$100 of assessed taxable value. The corporate and personal property tax rates for the Town for the fiscal years ended June 30, 2021 and 2020 were .80 per \$100 of assessed taxable value. The public utility tax rates for the Town for the fiscal years ended June 30, 2021 and 2020 were 5.00 per \$100 of assessed taxable value, respectively. Procedures for the collection of delinquent taxes by Montgomery County are provided for in the laws of Maryland. An allowance account of \$7,745 and \$8,197 has been established for delinquent property taxes at June 30, 2021 and 2020, respectively.

6. Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America require management to make estimates that affect the amounts reported in the financial statements and accompanying notes. Accordingly, actual results could differ from those estimates.

7. Deferred Outflows/Inflows of Resources

In addition to assets, the statement of financial position includes a separate section for deferred outflows of resources. This separate financial statement element, *deferred outflows of resources*, represents a consumption of net position that applies to a future period(s) and so will not be recognized as an outflow of resources (expense/expenditure) until then.

**TOWN OF KENSINGTON, MARYLAND**  
**Notes to Financial Statements**  
**June 30, 2021 and 2020**

**Note 1 - Summary of Significant Accounting Policies (Continued)**

**D. Assets, Deferred Outflows, Liabilities, Deferred Inflows and Net Position  
(Continued)**

In addition to liabilities, the statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, *deferred inflows of resources*, represents an acquisition of net position that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time. The Town currently recognizes unearned revenues (“unavailable” tax revenue received more than 60 days after year-end) as a deferred inflow.

**8. Net Position**

Net position represents the difference between assets and deferred outflows of resources, and liabilities and deferred inflows of resources on the government-wide financial statements. Net position is classified in the following categories:

*Net investment in capital assets* – This amount consists of capital assets net of accumulated depreciation and reduced by outstanding debt that is attributed to the acquisition, construction, or improvement of the assets.

*Restricted net position* – This amount is restricted by creditors, grantors, contributors, or laws or regulations of other governments.

*Unrestricted net position* – This amount is the net position that does not meet the definition of “net investment in capital assets” or “restricted net position”.

**Note 2 – Reconciliation of Government-Wide and Fund Financial Statements**

**A. Explanation of certain differences between the governmental fund balance and the government-wide statement of net position:**

The governmental fund balance sheet includes reconciliation between fund balance – total government funds and net position – governmental activities as reported in the government-wide statement of net position.



**TOWN OF KENSINGTON, MARYLAND**  
**Notes to Financial Statements**  
**June 30, 2021 and 2020**

**Note 3 – Detailed Notes on All Funds**

**A. Deposits and Investments**

**Deposits**

State statutes require all deposits be insured by the Federal Depository Insurance Corporation (FDIC) or fully collateralized.

Town administration is authorized to invest in those instruments authorized by Maryland Statutes. Cash and cash equivalents as presented on the balance sheet and statement of net position include: deposits (cash), the Montgomery County Investment Pool and the Maryland Local Government Investment Pool. The Investment Pools are reported at fair market value, which is the same as cost.

At June 30, 2021 and 2020, the carrying amount of the Town's deposits totaled \$226,422 and \$325,009 and the bank balances totaled \$318,911 and \$330,975, respectively. Of the bank balances at June 30, 2021 and 2020, \$250,000 was covered by FDIC, respectively, and the remaining balance was covered by collateral held the by Bank of New York Mellon.

**Investments**

The Town's investments are categorized to give an indication of the level of custodial credit risk assumed by the Town at year-end. Category 1 includes investments that are insured or registered or where securities are held by the Town or its agent, in the Town's name. Category 2 includes uninsured and unregistered investments for which the counterparty's trust department or agent in the Town's name holds the securities. Category 3 includes uninsured and unregistered investments where the securities are held by the financial institution's trust department or agent, but not in the Town's name.

| <b>June 30, 2021</b>                            |                   |             |             |                    |                    |  |
|-------------------------------------------------|-------------------|-------------|-------------|--------------------|--------------------|--|
|                                                 | <b>Category</b>   |             |             |                    | <b>Fair</b>        |  |
|                                                 | <b>1</b>          | <b>2</b>    | <b>3</b>    | <b>Cost</b>        | <b>Value</b>       |  |
| Cash                                            | \$ 131,131        | \$ -        | \$ -        | \$ 131,131         | \$ 131,131         |  |
| Certificate of Deposit                          | 333,734           | -           | -           | 333,734            | 327,984            |  |
| Total                                           | <u>\$ 464,865</u> | <u>\$ -</u> | <u>\$ -</u> | 464,865            | 459,115            |  |
| Investment in County Investment Pool            |                   |             |             | 273,503            | 273,503            |  |
| Investment in State Treasurer's Investment Pool |                   |             |             | <u>3,385,973</u>   | <u>3,385,973</u>   |  |
| Total Investments                               |                   |             |             | <u>\$4,124,341</u> | <u>\$4,118,591</u> |  |

**TOWN OF KENSINGTON, MARYLAND**  
**Notes to Financial Statements**  
**June 30, 2021 and 2020**

**Note 3 – Detailed Notes on All Funds (Continued)**

A. Deposits and Investments (continued)

Investments (continued)

| <b>June 30, 2020</b>                            |                   |             |             |                     |                     |  |
|-------------------------------------------------|-------------------|-------------|-------------|---------------------|---------------------|--|
|                                                 | <b>Category</b>   |             |             | <b>Cost</b>         | <b>Fair Value</b>   |  |
|                                                 | <b>1</b>          | <b>2</b>    | <b>3</b>    |                     |                     |  |
| Mutual funds                                    | \$ 380,344        | \$ -        | \$ -        | \$ 380,344          | \$ 371,132          |  |
| Certificate of Deposit                          | 174,665           | -           | -           | 174,665             | 174,910             |  |
| Total                                           | <u>\$ 555,009</u> | <u>\$ -</u> | <u>\$ -</u> | 555,009             | 546,042             |  |
| Investment in County Investment Pool            |                   |             |             | 272,996             | 272,996             |  |
| Investment in State Treasurer's Investment Pool |                   |             |             | 2,158,420           | 2,158,420           |  |
| Total Investments                               |                   |             |             | <u>\$ 2,986,425</u> | <u>\$ 2,977,458</u> |  |

Reconciliation to Government –Wide Statement of Net Position at June 30:

|                          | <u><b>2021</b></u>  | <u><b>2020</b></u>  |
|--------------------------|---------------------|---------------------|
| Unrestricted investments | <u>\$4,118,591</u>  | <u>\$ 2,977,458</u> |
| Total                    | <u>\$ 4,118,591</u> | <u>\$ 2,977,458</u> |

Fair Value

The Town categorizes its fair value measurements within the fair value hierarchy established by generally accepted accounting principles. The hierarchy is based on the valuation inputs used to measure the fair value of the asset. Level 1 inputs are quoted prices in active markets for identical assets; Level 2 inputs are significant other observable inputs; Level 3 inputs are significant unobservable inputs.

The Town has the following recurring fair value measurements as of June 30, 2021 and 2020:

- Maryland Local Government Investment Pool mutual funds of \$3,385,973 and \$2,158,420, respectively and are valued using quoted market prices (Level 1 inputs).

**TOWN OF KENSINGTON, MARYLAND**  
**Notes to Financial Statements**  
**June 30, 2021 and 2020**

**Note 3 – Detailed Notes on All Funds (Continued)**

A. Deposits and Investments (continued)

- Montgomery County Investment Pool mutual funds of \$273,503 and \$272,996, respectively and are valued using quoted market prices (Level 1 inputs).
- Registered mutual funds with investment advisors of \$0 and \$546,042, respectively and are valued using quoted market prices (Level 1 inputs).

B. Receivables

Receivables as of June 30, 2021 and 2020 for the Town's individual major and non-major governmental funds, in the aggregate, including the applicable allowances for uncollectible accounts, are as follows:

|                                    | <u><b>2021</b></u>      | <u><b>2020</b></u>      |
|------------------------------------|-------------------------|-------------------------|
| Receivables                        |                         |                         |
| Property taxes                     | \$ 26,725               | \$ 20,894               |
| Other                              | <u>6,574</u>            | <u>15,331</u>           |
| Gross receivables                  | 33,299                  | 36,225                  |
| Less: allowance for uncollectibles | <u>(7,745)</u>          | <u>(8,197)</u>          |
| Total Receivables - Net            | <u><u>\$ 25,554</u></u> | <u><u>\$ 28,028</u></u> |

Governmental funds report unearned revenue in connection with receivables for revenues that are not considered to be available to liquidate liabilities of the current period.

**TOWN OF KENSINGTON, MARYLAND**  
**Notes to Financial Statements**  
**June 30, 2021 and 2020**

**Note 3 – Detailed Notes on All Funds (Continued)**

**C. Due From Other Governments**

Due from other governments represents accrued revenue at June 30, 2021 and 2020 consisting of the following:

Governmental Activities:

|                          | <u><b>2021</b></u>      | <u><b>2020</b></u>       |
|--------------------------|-------------------------|--------------------------|
| Primary Government       |                         |                          |
| Federal - General fund   | \$ -                    | \$ 350,000               |
| State - General fund     | 48,616                  | 24,407                   |
| County - General fund    | <u>14,322</u>           | <u>19,507</u>            |
| Total Primary Government | <u><u>\$ 62,938</u></u> | <u><u>\$ 393,914</u></u> |

Governmental Funds:

|                          | <u><b>2021</b></u>      | <u><b>2020</b></u>      |
|--------------------------|-------------------------|-------------------------|
| Primary Government       |                         |                         |
| State - General fund     | \$ 48,616               | \$ 24,407               |
| County - General fund    | <u>14,322</u>           | <u>19,507</u>           |
| Total Primary Government | <u><u>\$ 62,938</u></u> | <u><u>\$ 43,914</u></u> |

**D. Fund Balance**

The Governmental Accounting Standards Board (GASB) has issued Statement No. 54, *Fund Balance Reporting and Governmental Fund Type Definitions* (GASB 54). This Statement defines the different types of fund balances that a governmental entity must use for financial reporting purposes. GASB 54 requires the fund balance amounts to be properly reported within one of the fund balance categories listed below:

Nonspendable – such as fund balance associated with inventories, prepaid expenses, long-term loans and notes receivable and property held for resale.

Restricted fund balance – includes amounts that can be spent only for the specific purposes stipulated by constitution, external resource providers or by law through enabling legislation.

Committed fund balance – includes amounts that can be used only for the specific purposes determined by a formal action of the Mayor and Council of the Town of Kensington.

**TOWN OF KENSINGTON, MARYLAND**  
**Notes to Financial Statements**  
**June 30, 2021 and 2020**

**Note 3 – Detailed Notes on All Funds (Continued)**

**D. Fund Balance (Continued)**

Assigned fund balance – includes amounts to be used by the government for specific purposes but do not meet the criteria to be classified as restricted or committed.

Unassigned fund balance – is the residual classification for the government's general fund and includes all spendable amounts not contained in the other classifications.

**Assigned Fund Balance**

The Town's assigned fund balance includes the projected use of fund balance for operating and capital improvement projects deficit as approved in the subsequent years' budget, and includes the intended use for special projects encumbered by the Mayor and Town Council under the direction of the Town Manager.

The following schedule lists these assigned fund balances as of June 30:

|                                                   | <b><u>2021</u></b>        | <b><u>2020</u></b>        |
|---------------------------------------------------|---------------------------|---------------------------|
| Equipment and vehicle replacement program         | \$ 244,743                | \$ 219,743                |
| Street light replacement program                  | 84,705                    | 240,392                   |
| Town parks and playground improvements            | 53,724                    | 49,785                    |
| Town hall improvements                            | 233,055                   | 180,668                   |
| Bridge reconstruction and renovation program      | 189,000                   | 129,000                   |
| Storm drain reconstruction and renovation program | 160,144                   | 129,000                   |
| Flood plain protection and land acquisition       | -                         | 131,000                   |
| Property acquisition                              | 703,796                   | 628,796                   |
| Town hall drill hall floor replacement            | -                         | 39,000                    |
| Public works facility improvement                 | 150,000                   | -                         |
| Facilities capital reserve                        | 150,000                   | -                         |
| Pavement management program                       | 300,000                   | -                         |
|                                                   | <u>2,269,167</u>          | <u>1,747,384</u>          |
| To fund subsequent year budget                    | <u>1,060,905</u>          | <u>662,726</u>            |
| Total Assigned Fund Balance                       | <u><u>\$3,330,072</u></u> | <u><u>\$2,410,110</u></u> |

**TOWN OF KENSINGTON, MARYLAND**  
**Notes to Financial Statements**  
**June 30, 2021 and 2020**

**Note 3 – Detailed Notes on All Funds (Continued)**

**D. Fund Balance (Continued)**

**Committed Fund Balance**

The Town's committed fund balance includes the projected use of fund balance for street reconstruction and renovation programs for which a contract has been signed. For the years ended June 30, 2021 and 2020 the committed fund balance was \$120,175 and \$172,718, respectively.

**Order of Fund Balance Spending Policy**

The Town's policy is to apply expenditures against non-spendable fund balance, restricted fund balance, committed fund balance, assigned fund balance, and unassigned fund balance at the end of the fiscal year.

First non-spendable fund balance is determined. Then restricted fund balances for specific purposes are determined, followed by committed fund balance and assigned fund balance. Unassigned fund balance cannot fall to a negative balance.

**TOWN OF KENSINGTON, MARYLAND**  
**Notes to Financial Statements**  
**June 30, 2021 and 2020**

**Note 3 – Detailed Notes on All Funds (Continued)**

E. Capital Assets

Capital asset activity for the year ended June 30, 2021 was as follows:

|                                              | <u><b>June 30,</b></u><br><u><b>2020</b></u> | <u><b>Increases</b></u> | <u><b>Decreases</b></u> | <u><b>June 30,</b></u><br><u><b>2021</b></u> |
|----------------------------------------------|----------------------------------------------|-------------------------|-------------------------|----------------------------------------------|
| Governmental Activities:                     |                                              |                         |                         |                                              |
| Capital assets, not being depreciated        |                                              |                         |                         |                                              |
| Land                                         | \$ 264,353                                   | \$ -                    | \$ -                    | \$ 264,353                                   |
| Land improvements                            | <u>995,894</u>                               | <u>58,900</u>           | <u>-</u>                | <u>1,054,794</u>                             |
| Total capital assets, not being depreciated  | <u>1,260,247</u>                             | <u>58,900</u>           | <u>-</u>                | <u>1,319,147</u>                             |
| Capital assets, being depreciated            |                                              |                         |                         |                                              |
| Infrastructure                               | 413,782                                      | 73,123                  | -                       | 486,905                                      |
| Buildings and improvements                   | 1,986,924                                    | 62,613                  | -                       | 2,049,537                                    |
| Equipment                                    | <u>631,303</u>                               | <u>14,180</u>           | <u>(16,190)</u>         | <u>629,293</u>                               |
| Total capital assets, being depreciated      | 3,032,009                                    | 149,916                 | (16,190)                | 3,165,735                                    |
| Less accumulated depreciation for:           |                                              |                         |                         |                                              |
| Infrastructure                               | (139,729)                                    | (14,057)                | -                       | (153,786)                                    |
| Buildings and improvements                   | (1,648,915)                                  | (50,899)                | -                       | (1,699,814)                                  |
| Equipment                                    | <u>(362,181)</u>                             | <u>(52,191)</u>         | <u>16,190</u>           | <u>(398,182)</u>                             |
| Total accumulated depreciation               | (2,150,825)                                  | (117,147)               | 16,190                  | (2,251,782)                                  |
| Total capital assets, being depreciated, net | <u>881,184</u>                               | <u>32,769</u>           | <u>-</u>                | <u>913,953</u>                               |
| Governmental activities capital assets, net  | <u>\$ 2,141,431</u>                          | <u>\$ 91,669</u>        | <u>\$ -</u>             | <u>\$ 2,233,100</u>                          |

Depreciation expense was charged to function/programs of the primary government as follows:

| Government activities:                            | <u><b>2021</b></u> | <u><b>2020</b></u> |
|---------------------------------------------------|--------------------|--------------------|
| General government                                | \$ 319             | \$ 4,949           |
| Building                                          | 50,899             | 54,018             |
| Public works                                      | 39,619             | 38,483             |
| Parks and recreation                              | <u>26,310</u>      | <u>18,148</u>      |
| Total depreciation expense, government activities | <u>\$ 117,147</u>  | <u>\$ 115,598</u>  |

**TOWN OF KENSINGTON, MARYLAND**  
**Notes to Financial Statements**  
**June 30, 2021 and 2020**

**Note 3 – Detailed Notes on All Funds (Continued)**

F. Long-Term Debt

Changes in accrued compensated absences:

|                                     | <u><b>2021</b></u>      | <u><b>2020</b></u>      |
|-------------------------------------|-------------------------|-------------------------|
| Long-term balance beginning of year | \$ 50,348               | \$ 42,719               |
| Additions                           | 16,977                  | 8,935                   |
| Less: current portion               | <u>(8,993)</u>          | <u>(1,306)</u>          |
| Long-term balance end of year       | <u><u>\$ 58,332</u></u> | <u><u>\$ 50,348</u></u> |

**Note 4 – Commitment and Contingencies**

Risk Management

The Town is exposed to various risks of loss related to torts, theft of or damage to and destruction of assets, errors and omissions, injuries to employees, and natural disasters for which the Town carries insurance through Local Government Insurance Trust. For the years ended June 30, 2021 and 2020 the Town paid annual premiums of approximately \$14,679 and \$15,409, respectively, to the pool for its general, auto, umbrella and property insurance coverage. Claims over the past three years have been significantly less than that amount. The agreement with the pool provides that the pool will be self-sustaining through member premiums, and will reinsure through commercial companies for claims in excess of \$1,000,000. The Town continues to carry commercial insurance for health, dental, life, short-term disability and workers compensation. Settled claims resulting from these risks have not exceeded commercial insurance coverage, and no significant reductions in insurance coverage have occurred, in any of the past three fiscal years.



**TOWN OF KENSINGTON, MARYLAND**  
**Notes to Financial Statements**  
**June 30, 2021 and 2020**

**Note 4 – Commitment and Contingencies (Continued)**

**License Agreement**

In February 2010, the Town entered into a license agreement with Montgomery County Maryland to design and construct a surface parking lot on property owned by Konterra Limited Partnership. Konterra Limited Partnership has granted a permanent and perpetual easement to the County for the land containing the parking lot. In prior years the Town has received \$446,600 to assist in funding construction, and the Town has funded the additional construction costs. The County has granted the Town the right to the exclusive use of the lot under the license agreement for ten years beginning February 11, 2010, with three additional ten-year option periods. If the Town is not notified of the County's intent to terminate the agreement, the agreement will automatically renew. The Town is currently in year two of option period one. In consideration of services provided by the Town, the Town shall pay a quarterly fee to the County consisting of a percentage of the gross revenues from parking lot operations after deducting maintenance expenses and the additional construction costs incurred by the Town. Approximately \$29,900 of parking lot revenue has been collected by the Town to date.

**Montgomery Municipal Cable**

Effective November 20, 2003, the Town entered into an agreement with Montgomery Municipal Cable, Inc. (MMC) for the use of certain facilities at the Town's Town Hall. In exchange for which MMC agreed that all cable franchise fees received by the Town from the County, (that otherwise would have been required to be remitted to MMC) could be retained by the Town. The agreement, originally expected to end on November 20, 2020, is now renewed and will continue until November 19, 2030. The franchise fees collected pursuant to this agreement are \$26,207 and \$28,655 for the fiscal years ended June 30, 2021 and 2020, respectively.

**Easement Agreement**

Effective August 9, 2019, The Town was granted an easement on property owned by Konterra Limited Partnership on Metropolitan Avenue in the Town. This easement was created in order to permit the Town to construct, install, operate, control and maintain within the easement area a dog park. The agreement shall remain in full force and effect for a minimum of three years from August 9, 2019.

**Road Transfer Agreement**

Effective August 19, 2019, the Town entered an agreement with Montgomery County, Maryland to transfer certain roads within the newly annexed area of the Town to the Town for \$1. The Town accepts control and jurisdiction over and maintenance responsibility for these roads and accompanying drainage facilities.

**TOWN OF KENSINGTON, MARYLAND**  
**Notes to Financial Statements**  
**June 30, 2021 and 2020**

**Note 5 - Retirement Plans**

Effective August 1, 2010, the Town has established a 401A money purchase retirement plan known as the Town of Kensington Retirement Plan to benefit employees by providing funds for retirement. All full time employees hired after January 1, 2009 are eligible to participate in the 401A money purchase plan as well as the eligible employees who were in the terminated defined benefit plan.

Effective August 1, 2010, the Town has established a 457 deferred compensation plan known as the Town of Kensington Deferred Compensation plan for its employees. This plan allows pretax deferrals from employees up to the maximum set by IRS regulations. Employees are fully vested in the pretax deferrals made to this plan.

The employer shall contribute 10% of employee compensation as long as the employee contributes 5% into the 457 deferred compensation plan. Employees are fully vested in employer contributions after five years of service. The contributions made for the fiscal years ending June 30, 2021 and 2020 were \$61,090 and \$71,536, respectively.

**Note 6 – Grants**

The Town receives financial assistance from federal, state and local governmental agencies in the form of grants. The disbursement of funds received under these programs generally requires compliance with terms and conditions specified in the grant agreements and are subject to audit by the grantor agencies. Any unallowed disbursements resulting from such audits could become a liability of the Town. In the opinion of Town management, no material refunds will be required as a result of unallowed disbursements (if any), by the grantor agencies.

**Note 7 – Wynne Case**

Maryland's individual income tax is composed of a state and a local rate. Maryland residents were allowed a credit for taxes paid to other states, but the credit was allowed against only the state portion of the tax and not against the local tax portion. The U.S. Supreme Court ruled this practice to be unconstitutional because it results in double taxation of income earned outside of Maryland. As a result, the State of Maryland is requiring Maryland local governments to refund the estimated portion of income tax paid to the local governments in years 2008-2014, consisting of the local portion of the tax, that the state may have to re-pay taxpayers that file amended returns claiming a refund for the credit applicable to the local tax rate. The Town's estimated obligation for State taxes to be refunded to the State is \$0 and \$78,677 as of June 30, 2021 and 2020, respectively and in fiscal year ended June 30, 2020, it is recorded in the liabilities section of the Statements of Net Position. This amount was paid off by the Town in May 2021.

**TOWN OF KENSINGTON, MARYLAND**  
**Notes to Financial Statements**  
**June 30, 2021 and 2020**

**Note 8 – Subsequent Events**

Management has evaluated subsequent events through October 25, 2021, the date that the financial statements were available to be issued.

**American Rescue Plan Act (ARPA)**

The American Rescue Plan Act (ARPA) was signed into Federal law in March of 2021, and established the Coronavirus State and Local Fiscal Recovery Funds (SLFRF) program. This program provides financial support to State and Local governments in responding to the economic and public health impacts of COVID-19 and in their efforts to contain impacts on their communities, residents, and businesses. These funds may be used to cover eligible program costs incurred during the period beginning on March 3, 2021 and ending on December 31, 2024, as long as the awarded funds incurred by December 31, 2024 are expended by December 31, 2026. Any funds not obligated or expended for eligible uses during this period must be returned to the U.S. Treasury.

The Town applied for and was awarded SLFRF funding passed through the State of Maryland in the amount of \$2,294,669 of which \$1,147,335 was received in August 27, 2021. Revenue recognition of these funds will be deferred until the related eligible expenditures are incurred.

**Copier Lease**

On August 11, 2021, the Town entered into a copier lease. The lease payments are \$314 per month and the lease expires August 31, 2026. Minimum lease payments for the next five years are as follows: Fiscal years 2022 - \$3,140, 2023 – \$3,768, 2024 - \$3,768, 2025 - \$3,768, 2026 - \$3,768.

## **REQUIRED SUPPLEMENTARY INFORMATION**

**Town of Kensington, Maryland**  
**Required Supplementary Information**  
**Budgetary Comparison Schedule**  
**General Fund**  
**For the Year Ended June 30, 2021**

|                                        | <u>Budgeted Amounts</u> |              | <u>Actual</u>  | <u>Variance with</u> |
|----------------------------------------|-------------------------|--------------|----------------|----------------------|
|                                        | <u>Original</u>         | <u>Final</u> | <u>Amounts</u> | <u>Final Budget</u>  |
| <b>Revenues</b>                        |                         |              |                | <b>Positive</b>      |
| <b>Taxes</b>                           |                         |              |                | <b>(Negative)</b>    |
| <b>Local</b>                           |                         |              |                |                      |
| Real property tax                      | \$ 792,594              | \$ 792,594   | \$ 807,771     | \$ 15,177            |
| Personal and ordinary business         | 120,084                 | 120,084      | 145,458        | 25,374               |
| Public utilities tax                   | 432,983                 | 432,983      | 450,721        | 17,738               |
| Total Taxes - Local                    | 1,345,661               | 1,345,661    | 1,403,950      | 58,289               |
| Additions and abatements - prior years | -                       | -            | 10,570         | 10,570               |
| Total Taxes - Local - Net              | 1,345,661               | 1,345,661    | 1,414,520      | 68,859               |
| <b>State Shared</b>                    |                         |              |                |                      |
| Income taxes                           | 668,825                 | 668,825      | 843,855        | 175,030              |
| Admissions and amusements tax          | 250                     | 250          | 211            | (39)                 |
| Total Taxes - State Shared             | 669,075                 | 669,075      | 844,066        | 174,991              |
| Total Taxes                            | 2,014,736               | 2,014,736    | 2,258,586      | 243,850              |
| <b>Licenses and Permits</b>            |                         |              |                |                      |
| Building permits                       | 12,000                  | 12,000       | 42,634         | 30,634               |
| Parking permits                        | 6,000                   | 6,000        | 5,528          | (472)                |
| Traders' licenses                      | 9,000                   | 9,000        | 7,380          | (1,620)              |
| Cable franchise tax                    | 27,558                  | 27,558       | 26,207         | (1,351)              |
| Total Licenses and Permits             | 54,558                  | 54,558       | 81,749         | 27,191               |
| <b>Intergovernmental Revenues</b>      |                         |              |                |                      |
| County tax duplication payment         | 176,213                 | 176,213      | 156,809        | (19,404)             |
| State highway user                     | 105,069                 | 105,069      | 106,382        | 1,313                |
| Financial corporation -bank shares     | 4,226                   | 4,226        | 4,226          | -                    |
| Total Intergovernmental Revenues       | \$ 285,508              | \$ 285,508   | \$ 267,417     | \$ (18,091)          |

Continued

**Town of Kensington, Maryland**  
**Required Supplementary Information**  
**Budgetary Comparison Schedule**  
**General Fund**  
**For the Year Ended June 30, 2021**

|                                                          | <u>Budgeted Amounts</u> |                     | <u>Actual</u>       | <u>Variance with</u> |
|----------------------------------------------------------|-------------------------|---------------------|---------------------|----------------------|
|                                                          | <u>Original</u>         | <u>Final</u>        | <u>Amounts</u>      | <u>Final Budget</u>  |
|                                                          |                         |                     |                     | <u>Positive</u>      |
|                                                          |                         |                     |                     | <u>(Negative)</u>    |
| <b>Fines and Forfeitures</b>                             |                         |                     |                     |                      |
| Code infractions                                         | \$ 1,000                | \$ 1,000            | \$ 3,206            | \$ 2,206             |
| Speed camera revenue                                     | 3,000                   | 3,000               | -                   | (3,000)              |
| Total Fines and Forfeitures                              | 4,000                   | 4,000               | 3,206               | (794)                |
| <b>Grant Income</b>                                      |                         |                     |                     |                      |
| Federal - Department of Housing<br>and Urban Development | -                       | -                   | 350,000             | 350,000              |
| State - Department of Natural Resources<br>Open Space    | -                       | -                   | 43,500              | 43,500               |
| County - COVID Relief Fund                               | -                       | -                   | 7,716               | 7,716                |
| Total Grant Income                                       | -                       | -                   | 401,216             | 401,216              |
| <b>Miscellaneous</b>                                     |                         |                     |                     |                      |
| Town hall rentals                                        | 30,000                  | 30,000              | -                   | (30,000)             |
| Park Rentals                                             | 2,500                   | 2,500               | 2,630               | 130                  |
| Miscellaneous revenues                                   | 5,400                   | 5,400               | 7,066               | 1,666                |
| Municipal events                                         | 13,500                  | 13,500              | 7,722               | (5,778)              |
| Investment income - net                                  | 30,000                  | 30,000              | 11,140              | (18,860)             |
| Total Miscellaneous                                      | 81,400                  | 81,400              | 28,558              | (52,842)             |
| Total Revenues                                           | <u>\$ 2,440,202</u>     | <u>\$ 2,440,202</u> | <u>\$ 3,040,732</u> | <u>\$ 600,530</u>    |

Continued

**Town of Kensington, Maryland**  
**Required Supplementary Information**  
**Budgetary Comparison Schedule**  
**General Fund**  
**For the Year Ended June 30, 2021**

| <b>Expenditures</b>                  | <b>Budgeted Amounts</b> |                     | <b>Actual<br/>Amounts</b> | <b>Variance with<br/>Final Budget<br/>Positive<br/>(Negative)</b> |
|--------------------------------------|-------------------------|---------------------|---------------------------|-------------------------------------------------------------------|
|                                      | <b>Original</b>         | <b>Final</b>        |                           |                                                                   |
| <b>General Government</b>            |                         |                     |                           |                                                                   |
| Legislative and Executive            |                         |                     |                           |                                                                   |
| Mayor and council                    | \$ 24,000               | \$ 24,000           | \$ 21,000                 | \$ 3,000                                                          |
| Mayor and council - other            | 15,200                  | 15,200              | 3,034                     | 12,166                                                            |
| Total Legislative and Executive      | <u>39,200</u>           | <u>39,200</u>       | <u>24,034</u>             | <u>15,166</u>                                                     |
| Financial Administration             |                         |                     |                           |                                                                   |
| Administrative salaries              | 501,132                 | 501,132             | 358,300                   | 142,832                                                           |
| Health/life/disability benefits      | 61,201                  | 61,201              | 37,355                    | 23,846                                                            |
| Payroll taxes                        | 37,498                  | 37,498              | 26,833                    | 10,665                                                            |
| Employee retirement and pension fund | 40,911                  | 40,911              | 31,008                    | 9,903                                                             |
| Professional services                | 53,800                  | 53,800              | 22,135                    | 31,665                                                            |
| Audit                                | 10,700                  | 10,700              | 10,700                    | -                                                                 |
| Attorney                             | 50,000                  | 50,000              | 11,711                    | 38,289                                                            |
| Dues and fees                        | 10,485                  | 10,485              | 9,281                     | 1,204                                                             |
| Office expense                       | 28,350                  | 28,350              | 28,102                    | 248                                                               |
| Insurance                            | 21,000                  | 21,000              | 14,679                    | 6,321                                                             |
| Workers compensation insurance       | 4,934                   | 4,934               | 1,370                     | 3,564                                                             |
| Training, seminars, etc.             | 6,500                   | 6,500               | 250                       | 6,250                                                             |
| Total Financial Administration       | <u>826,511</u>          | <u>826,511</u>      | <u>551,724</u>            | <u>274,787</u>                                                    |
| Municipal Building                   |                         |                     |                           |                                                                   |
| Town Hall repairs and maintenance    | 45,700                  | 45,700              | 26,029                    | 19,671                                                            |
| Town Hall utilities                  | 41,000                  | 41,000              | 26,050                    | 14,950                                                            |
| Town Hall equipment                  | 6,000                   | 6,000               | 5,374                     | 626                                                               |
| Total Municipal Building             | <u>92,700</u>           | <u>92,700</u>       | <u>57,453</u>             | <u>35,247</u>                                                     |
| Other General Government             |                         |                     |                           |                                                                   |
| Office equipment                     | 2,000                   | 2,000               | 1,814                     | 186                                                               |
| Commercial revitalization            | 120,000                 | 120,000             | 62,491                    | 57,509                                                            |
| Miscellaneous                        | 3,000                   | 3,000               | 522                       | 2,478                                                             |
| Contingency                          | 10,000                  | 10,000              | -                         | 10,000                                                            |
| Total Other General Government       | <u>135,000</u>          | <u>135,000</u>      | <u>64,827</u>             | <u>70,173</u>                                                     |
| Total General Government             |                         |                     |                           |                                                                   |
| Expenditures                         | <u>\$ 1,093,411</u>     | <u>\$ 1,093,411</u> | <u>\$ 698,038</u>         | <u>\$ 395,373</u>                                                 |

Continued

**Town of Kensington, Maryland**  
**Required Supplementary Information**  
**Budgetary Comparison Schedule**  
**General Fund**  
**For the Year Ended June 30, 2021**

|                                         | <u>Budgeted Amounts</u> |                   | <u>Actual</u>    | <u>Variance with</u> |
|-----------------------------------------|-------------------------|-------------------|------------------|----------------------|
|                                         | <u>Original</u>         | <u>Final</u>      | <u>Amounts</u>   | <u>Final Budget</u>  |
|                                         |                         |                   |                  | <u>Positive</u>      |
|                                         |                         |                   |                  | <u>(Negative)</u>    |
| <b>Public Safety</b>                    |                         |                   |                  |                      |
| Salaries                                | \$ 152,307              | \$ 152,307        | \$ 126,780       | \$ 25,527            |
| Health/life/disability benefits         | 10,053                  | 10,053            | 9,430            | 623                  |
| Payroll taxes                           | 11,429                  | 11,429            | 10,432           | 997                  |
| Miscellaneous                           | 2,000                   | 2,000             | -                | 2,000                |
| Employee retirement and pension fund    | 5,298                   | 5,298             | 4,959            | 339                  |
| Workers compensation insurance          | 9,347                   | 9,347             | 5,540            | 3,807                |
| Traffic control and engineering         | 12,000                  | 12,000            | 10,211           | 1,789                |
| Street lights - parking lot             | 2,000                   | 2,000             | 634              | 1,366                |
| Street lighting                         | 56,000                  | 56,000            | 43,543           | 12,457               |
| Total Public Safety                     | <u>260,434</u>          | <u>260,434</u>    | <u>211,529</u>   | <u>48,905</u>        |
| <b>Parks and Recreation</b>             |                         |                   |                  |                      |
| Municipal events                        | 50,500                  | 50,500            | 3,575            | 46,925               |
| Park supplies and professional services | 19,000                  | 19,000            | 13,082           | 5,918                |
| Park utilities                          | 1,750                   | 1,750             | 2,252            | (502)                |
| Park landscaping                        | 30,000                  | 30,000            | 41,009           | (11,009)             |
| Total Parks and Recreation              | <u>\$ 101,250</u>       | <u>\$ 101,250</u> | <u>\$ 59,918</u> | <u>\$ 41,332</u>     |

Continued



**Town of Kensington, Maryland**  
**Required Supplementary Information**  
**Budgetary Comparison Schedule**  
**General Fund**  
**For the Year Ended June 30, 2021**

|                                                        | <u>Budgeted Amounts</u> |                     | <u>Actual</u>       | <u>Variance with</u> |
|--------------------------------------------------------|-------------------------|---------------------|---------------------|----------------------|
|                                                        | <u>Original</u>         | <u>Final</u>        | <u>Amounts</u>      | <u>Final Budget</u>  |
|                                                        |                         |                     |                     | <u>Positive</u>      |
|                                                        |                         |                     |                     | <u>(Negative)</u>    |
| <b>Public Works</b>                                    |                         |                     |                     |                      |
| Salaries                                               | \$ 341,878              | \$ 341,878          | \$ 261,675          | \$ 80,203            |
| Health/life/disability benefits                        | 68,989                  | 68,989              | 66,611              | 2,378                |
| Payroll taxes                                          | 25,290                  | 25,290              | 20,733              | 4,557                |
| Workers compensation insurance                         | 16,972                  | 16,972              | 9,106               | 7,866                |
| Employee retirement and pension fund                   | 27,743                  | 27,743              | 25,123              | 2,620                |
| Drug testing                                           | 1,000                   | 1,000               | -                   | 1,000                |
| Street maintenance                                     | 24,000                  | 24,000              | 7,709               | 16,291               |
| Landscaping vegetation management                      | 25,000                  | 25,000              | 9,726               | 15,274               |
| Tree maintenance and other landscaping                 | 75,000                  | 75,000              | 49,510              | 25,490               |
| Storm drain maintenance                                | 6,000                   | 6,000               | 19,590              | (13,590)             |
| Sidewalk repair                                        | 12,000                  | 12,000              | 2,804               | 9,196                |
| Street sweeping                                        | 8,000                   | 8,000               | -                   | 8,000                |
| Snow removal                                           | 8,500                   | 8,500               | 6,500               | 2,000                |
| Small equipment purchase                               | 12,000                  | 12,000              | 9,933               | 2,067                |
| Vehicle fuel expense                                   | 8,000                   | 8,000               | 6,253               | 1,747                |
| Shop supplies/tools                                    | 3,000                   | 3,000               | 2,210               | 790                  |
| Uniforms                                               | 3,000                   | 3,000               | 2,103               | 897                  |
| Miscellaneous                                          | 1,000                   | 1,000               | 290                 | 710                  |
| Conference/training /travel                            | 500                     | 500                 | -                   | 500                  |
| Small equipment maintenance                            | 3,500                   | 3,500               | 1,351               | 2,149                |
| Garage utilities and maintenance                       | 13,700                  | 13,700              | 2,364               | 11,336               |
| Vehicle maintenance/repair                             | 20,000                  | 20,000              | 9,836               | 10,164               |
| Refuse, recycling, yard waste contract                 | 164,720                 | 164,720             | 158,835             | 5,885                |
| Leaf collection and disposal fees                      | 18,000                  | 18,000              | 11,019              | 6,981                |
| Total Public Works                                     | <u>887,792</u>          | <u>887,792</u>      | <u>683,281</u>      | <u>204,511</u>       |
| <b>Debt Service - state income tax</b>                 | <u>-</u>                | <u>-</u>            | <u>78,677</u>       | <u>(78,677)</u>      |
| Total Expenditures before Capital Improvement Projects | <u>\$ 2,342,887</u>     | <u>\$ 2,342,887</u> | <u>\$ 1,731,443</u> | <u>\$ 611,444</u>    |

Continued

**Town of Kensington, Maryland**  
**Required Supplementary Information**  
**Budgetary Comparison Schedule**  
**General Fund**  
**For the Year Ended June 30, 2021**

|                                                       | <u>Budgeted Amounts</u> |                     | <u>Actual</u>       | <u>Variance with</u> |
|-------------------------------------------------------|-------------------------|---------------------|---------------------|----------------------|
|                                                       | <u>Original</u>         | <u>Final</u>        | <u>Amounts</u>      | <u>Final Budget</u>  |
|                                                       |                         |                     |                     | <u>Positive</u>      |
|                                                       |                         |                     |                     | <u>(Negative)</u>    |
| <b>Capital Improvement Projects</b>                   |                         |                     |                     |                      |
| General Government                                    |                         |                     |                     |                      |
| Town Hall improvements                                | \$ 100,000              | \$ 100,000          | \$ 62,613           | \$ 37,387            |
| Property acquisition                                  | 75,000                  | 75,000              | -                   | 75,000               |
| Facilities capital reserve                            | 75,000                  | 75,000              | -                   | 75,000               |
| Total                                                 | <u>250,000</u>          | <u>250,000</u>      | <u>62,613</u>       | <u>187,387</u>       |
| Public works                                          |                         |                     |                     |                      |
| Pavement management program                           | 300,000                 | 300,000             | 52,543              | 247,457              |
| Bridge reconstruction and renovation                  | 25,000                  | 25,000              | -                   | 25,000               |
| Equipment and vehicle replacement program             | 25,000                  | 25,000              | -                   | 25,000               |
| Public works facility improvements                    | 75,000                  | 75,000              | -                   | 75,000               |
| Street light upgrade                                  | -                       | -                   | 15,295              | (15,295)             |
| Storm drainage reconstruction & renovation            | 25,000                  | 25,000              | 28,856              | (3,856)              |
| Total                                                 | <u>450,000</u>          | <u>450,000</u>      | <u>96,694</u>       | <u>353,306</u>       |
| Parks                                                 |                         |                     |                     |                      |
| Park and play area improvements                       | 60,043                  | 60,043              | 131,495             | (71,452)             |
| Total                                                 | <u>60,043</u>           | <u>60,043</u>       | <u>131,495</u>      | <u>(71,452)</u>      |
| Total Capital Improvement Projects                    | <u>760,043</u>          | <u>760,043</u>      | <u>290,802</u>      | <u>469,241</u>       |
| Total Expenditures after Capital Improvement Projects | <u>\$ 3,102,930</u>     | <u>\$ 3,102,930</u> | <u>\$ 2,022,245</u> | <u>\$ 1,080,685</u>  |

The accompanying notes are an integral part of this schedule.

**TOWN OF KENSINGTON, MARYLAND**  
**Notes to Required Supplementary Information**  
**June 30, 2021**

**Note 1 – Summary of Significant Budget Policies**

The Town Council annually adopts a budget for the General Fund of the primary government. All appropriations are legally controlled at the departmental level for the General Fund. On May 11, 2020, the Town Council approved the original adopted budget.

The budgets are integrated into the accounting system, and the budgetary data, as presented in the financial statements for all funds with annual budgets, compare the expenditures with the amended budgets. All budgets are presented on the modified accrual basis of accounting. Accordingly, the accompanying Budgetary Comparison Schedule for the General Fund presents actual expenditures in accordance with the accounting principles generally accepted in the United States on a basis consistent with the legally adopted budgets as amended. Unexpended appropriations on annual budgets lapse at the end of each fiscal year.

Appropriations lapse at year end with the exception of capital improvement projects. The Town carried over \$3,450,247 in committed and assigned fund balances for the year ended June 30, 2021.

**Note 2 – Material Violations**

There were no material violations of the annual appropriated budgets for the General Fund for the fiscal year ended June 30, 2021. In addition, there were no excesses of budgetary expenditures for that period.

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